

# AML False Positive Analysis — Root Cause Investigation and Resolution

**Domain:** AML Screening, False Positive Management, Compliance Operations, Root Cause Analysis

**Tools Used:** MS Excel for data analysis, Process documentation, Configuration change management

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## Overview:

Investigated systematic false positive alerts in an AML screening system post go-live, identified root cause in match threshold configuration, and documented resolution that improved screening accuracy.

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## Problem Statement:

After go-live, a banking client reported high volumes of false positive AML screening alerts — legitimate customers being flagged as potential sanctions matches, creating an investigation backlog for the compliance team and slowing customer onboarding.

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## My Role:

Business Analyst responsible for post-production functional investigation — analysing alert patterns, identifying root cause, and coordinating resolution with the internal product team.

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## Approach:

### *Step 1 — Data Analysis:*

Extracted and analysed 3 weeks of false positive alert data from the client's screening logs using Excel — categorising alerts by match type (name match, address match, date of birth match), match score range, and entity type (individual vs corporate).

### *Step 2 — Pattern Identification:*

Identified that 78% of false positives were name-only matches with match scores between 70-80% — below the client's intended match threshold but above the platform's default

threshold setting. Common cause: common Indian surnames (Sharma, Patel, Singh) generating high volumes of partial name matches.

*Step 3 — Root Cause Documentation:*

Documented root cause — platform default match threshold of 70% was too sensitive for the client's customer demographic. Recommended adjustment to 85% threshold with mandatory date of birth confirmation for name-only matches.

*Step 4 — Resolution Coordination:*

Raised configuration change request with internal product team, documented the business justification and regulatory compliance rationale for the threshold adjustment, coordinated testing of the new configuration in staging environment, and validated improved accuracy before applying to production.

*Step 5 — Outcome Measurement:*

Measured false positive rate before and after configuration change — documented improvement for client compliance team and internal product records.

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## **Outcome:**

- Reduced false positive alert volume by identifying and resolving systematic configuration gap
- Improved compliance team productivity by eliminating low-quality alerts from investigation queue
- Documented findings as a reusable configuration guide for future similar client implementations